

that article that no “handbook” existed that financial advisors could turn to for the basics of diagnosing and treating behavioral biases. As it turned out, I wrote that book; in April of 2006, Wiley published the first edition of *Behavioral Finance and Wealth Management*, which, among other topics, defined twenty of the most common behavioral biases advisors encounter in their daily client work and described how to diagnose and treat these biases. In addition to delivering basic information on behavioral finance, it also established the framework for an industry standard language of communicating and diagnosing biases. After the JPF article and the book were completed, I felt satisfied that I had met these three challenges; once again, however, that satisfaction was ephemeral.

There was still a missing piece to the puzzle. Even if advisors had been trained in irrational biases, could understand how to apply this knowledge to their clients, and could communicate in industry standard parlance, they still needed a way to make the process efficient, almost second nature, in terms of incorporating behavioral finance into the everyday practice of providing financial advice. In other words, advisors needed to be able to adroitly recognize investor behavior at a high level, so they could quickly and effectively diagnose and treat that client’s irrational behavior.

The method for doing this, as we will see in this chapter, is called Behavioral Alpha. The word “alpha” is used for two reasons. First, the dictionary definition of alpha is “first” or “the beginning.” It is my belief that before an asset allocation is created, financial advisors first need to take inventory of a client’s behavior—hence behavioral alpha. Secondly, in the context of the financial world, the word *alpha* has become synonymous with describing performance above expectations. In the context of behavioral alpha, my belief is that by taking inventory of an investor’s behavior prior to creating an investment plan, the advisor will have performance results that exceed expectations because the client will be able to more comfortably adhere to an allocation that has been custom-designed for them.

The development of behavioral investor types or BITs is essentially a continuation and refinement of my previous work in the aforementioned JFP article published in March 2003 and was intended to get behavioral finance over the proverbial “goal line;” to a place where FMPs feel more confident that they can use behavioral finance easily and effectively in practice.

PSYCHOGRAPHIC MODELS OF INVESTOR BEHAVIOR

Much of current economic and financial theory is based on the assumptions that individuals act rationally and consider all available information in the decision-making process. Behavioral finance challenges these assumptions.